

Suitability Report

Mrs Angela Stead & Mr Kevin Stead

Date: 16/07/2026

Tom Randall DipPFS

Independent Financial Adviser

TFAS Wealth Ltd

Second Floor

St Andrews House

119-121 The Headrow

Leeds

LS1 5JW

0800 888 6100

Recommendation Summary

Recommendations 	<u>Existing Personal Pensions:</u> Transfer Phoenix Life, Prudential and Standard Life Personal Pensions to Aviva Platform Personal Pensions Commence phased UFPLS withdrawals from Angela's new Aviva pension (£1,396.67 monthly) to utilise her Personal Allowance until State Pension commences in October 2029
Investments 	Angela: Vanguard LifeStrategy 40% Equity (50%) / HSBC Global Strategy Conservative Portfolio (50%) Kevin: Vanguard LifeStrategy 60% Equity (50%) / CT Universal MAP Balanced (50%)
Attitude to Risk 	Angela: Level 4 – Cautious Balanced Kevin: Level 5 – Balanced

My Recommendation

You have been provided with a copy of our **Client Agreement** and **Important Information about our Investment, Protection and Pension Services**. These are important documents that contain further information about the type of advice I can provide and set out the basis on which my company conducts business with you.

The basis of my advice

Following a recent review of your financial affairs we identified certain needs and objectives as detailed below. This report is designed to explain how and why my recommendations can help meet these needs and objectives - whilst at the same time highlighting any potential disadvantages and risks, as well as any other implications in terms of costs, charges and taxation.

My advice provided to you is based upon the information you have disclosed and therefore if this letter does not coincide with your view of the situation, or you require any further clarification, please contact me immediately. It is important to emphasise any information in relation to your circumstances that has not been disclosed could have affected my advice to you.

Duty of Care

As part of our commitment to delivering advice that is appropriate, clear and in your best interests, we have taken into account your personal circumstances and the importance of ensuring you feel fully informed and confident in any financial decisions you may make.

We encourage you to take the time you need to consider the information and recommendations provided. As you have not sought advice previously and having had a recent experience with another Financial Advice firm your preference is to initially have face to face meetings until you feel comfortable with us and the process. You also want to ensure that everything is clear, easy to understand and that you are comfortable before you make any final decisions.

We remain committed to supporting you throughout this process and ensuring you feel comfortable at every stage. Please be assured that our advice has been tailored with care and consideration to your individual situation, and we are available should you have any questions or wish to revisit any aspect of the advice at a later date.

Your current situation

Angela, you are currently aged 63, and Kevin, you are aged 67. You are both married, in good health and are non-smokers. You have three adult children between you - daughters Lorna (31) and Aleysha (29), and Kevin's son Steven (44). None of your children are financially dependent.

You have been self-employed partners in an HGV haulage business since 1994. After 32 years of successfully operating this business, you have decided to retire on 29th May 2026. You have been drawing approximately £3,000 to £3,500 monthly from the business account, but this income will cease upon retirement. The business is in the process of being wound up, assets sold and invoices due to be paid by clients therefore there may be some income that will be attributed to you in the near future and your accountant is currently preparing the final accounts.

Kevin, you are already in receipt of your State Pension of £954.15 every four weeks (approximately £1,034 per month). Angela, you will receive your State Pension from October 2029.

Your current monthly household expenditure is approximately £2,967, which creates a shortfall against Kevin's current State Pension income. This shortfall will need to be met from your pension savings and cash reserves during retirement.

You have confirmed that you require a combined household income of £3,500 per month throughout retirement to maintain your desired lifestyle. This income need has been carefully considered alongside your current expenditure patterns and future aspirations.

You have retained substantial liquid capital in the form of Cash ISAs totalling £266,000, plus a mortgage-free home valued at £450,000. This provides excellent financial security and flexibility in implementing your retirement income strategy.

Assets & Liabilities

Assets	Value
Main Residence	£450,000
Cash ISAs and Current Account	£266,000
Motor Home	£40,000
Business Bank Account	£10,000
NET Asset Value	£766,000

Inheritance Tax Summary

We each have a Nil Rate Band (NRB) of £325,000 and, if your property is passed to direct descendants, a Main Residence Nil Rate Band (RNRB) of £175,000. Any unused NRB can be transferred to a surviving spouse or civil partner, meaning up to £1 million can be passed on tax-free on second death.

Historically, pensions have not formed part of your estate for IHT purposes, making them a valuable estate planning tool. However, legislation has now been passed to change this.

From 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits. Executors will be responsible for

declaring pension values as part of the IHT return and may use new options for settling any tax due directly from pension funds.

Currently, your Inheritance Tax liability will be £0. With combined assets of £766,000 plus your pension values, your total estate remains below the potential combined nil rate bands of £1,000,000 (assuming both nil rate bands and residence nil rate bands are available). We will continue to monitor your IHT position at our future reviews.

Your Objectives

We reviewed your needs, objectives and time horizons and agreed the following:

- You want to generate £3,500 net monthly household income throughout your retirement to maintain your desired lifestyle.
- You want to establish a tax-efficient income strategy that utilises Angela's Personal Allowance until her State Pension commences in October 2029.
- You want to reduce your pension product charges and access investments that are appropriately aligned to your individual risk profiles.
- You want to simplify your pension administration and enable flexible drawdown options for the future.
- You want to preserve your capital to support your future lifestyle needs and provide potential legacy benefits for your children.

Attitude to Risk & Capacity for loss

Your attitude to risk

You both completed risk profiling questionnaires using the Defaqto Attitude to Risk Questionnaire (ATRQ), and these results were discussed and agreed. Angela, your risk profile was agreed as 4 on a scale of 1 – 10, and Kevin, your risk profile was agreed as 5 on a scale of 1 – 10.

Angela - Level 4 (Cautious Balanced): As a Cautious Balanced investor, you tend to see yourself as quite a cautious person and are inclined to view risk negatively rather than as a source of opportunity. You are inclined to look for safer investments, although you may consider taking some risk in exchange for increased potential returns.

Kevin - Level 5 (Balanced): As a Balanced investor, you do not see yourself as a particularly cautious person and have no strong positive or negative associations with the notion of taking risk. You can be inclined to look for a combination of investments with differing levels of risk and understand that you may need to take some risk to meet your investment goals.

Capacity for loss

Whenever you invest you have to accept there is a risk to your capital. Any capacity for loss is based on what you are prepared to lose, or can afford to lose, which is based on your personal circumstances. Having agreed your attitude to investment risk, we discussed how this could impact on potential losses to your investment, and you confirmed this is within an acceptable tolerance based on your capacity to suffer any losses. We have also utilised cashflow analysis to assess whether you will have sufficient funds for retirement.

Based on our conversations and analysis, I have determined that your capacity for loss is medium for both of you. While you will be reliant on your pension funds to provide retirement income, you have substantial cash reserves totalling circa £266,000 which provide an excellent buffer against market volatility. This gives you the financial flexibility to accept some investment risk in pursuit of better long-term returns while maintaining security through your cash holdings.

Knowledge & Experience

You confirmed that you have limited experience with investment products, having primarily used cash savings products and Cash ISAs over the years. Your existing personal pensions have been invested in with-profits funds, which you understand provide some investment growth potential with smoothing mechanisms. During our discussions, I explained how multi-asset funds work to provide diversified exposure across different asset classes, and you expressed comfort with this approach following my explanations. You both indicated a preference to avoid complex investments and appreciate a straightforward, well-managed solution that matches your individual risk tolerances.

Existing Arrangements

Provider/Scheme & policy number	Phoenix Life & Pensions - 500223804C (Angela)
Type of Plan	Personal Pension Plan (Unit-linked)
Fund Value	£85,317 (as of 29/04/2026)
Transfer Value	£89,162
Contributions	None (paid-up since 2008)
Safeguarded Features incl. TFC/GARs/MIG	None
Charges	Annual Management Charge 0.75%
Investment Funds	Phoenix AL Pensions International
Risk Level	9 (Very high - mismatched to Angela's Risk 4 profile)
Penalties/Cost of exit/Switching	None
Retirement Options	UFPLS only, no Flexible Access Drawdown
Number of funds available	Up to 13 (currently invested in 1)
Allows Servicing Adviser	No adviser charging facility

Provider/Scheme & policy number	Prudential - 50094231 (Angela)
Type of Plan	Personal Pension Plan (With-Profits)
Fund Value	£31,464 (as of 20/05/2026)
Transfer Value	£33,723
Contributions	None (paid-up)
Safeguarded Features incl. TFC/GARs/MIG	None
Charges	Expected annual charge 0.95%
Investment Funds	With-Profits Fund only
Risk Level	5
Penalties/Cost of exit/Switching	None
Retirement Options	None
Number of funds available	With-Profits Fund only
Allows Servicing Adviser	No adviser charging facility

Provider/Scheme & policy number	Prudential - 50434629 (Kevin)
Type of Plan	Personal Pension Plan (With-Profits)
Fund Value	£124,774 (as of 20/05/2026)
Transfer Value	£136,071
Contributions	None (paid-up)
Safeguarded Features incl. TFC/GARs/MIG	None
Charges	Expected annual charge 0.95%
Investment Funds	With-Profits Fund only
Risk Level	5
Penalties/Cost of exit/Switching	None
Retirement Options	None
Number of funds available	With-Profits Fund only
Allows Servicing Adviser	No adviser charging facility

Provider/Scheme & policy number	Standard Life - K176308000 (Kevin)
Type of Plan	Personal Pension Plan (With-Profits)
Fund Value	£24,472 (as of 31/10/2025)
Transfer Value	£25,488
Contributions	None (paid-up)
Safeguarded Features incl. TFC/GARs/MIG	4% guaranteed growth on fund value
Charges	Annual management charge 1%
Investment Funds	Standard Life Pension With-Profits Fund
Risk Level	5
Penalties/Cost of exit/Switching	None
Retirement Options	UFPLS allowed, no drawdown facility
Number of funds available	With-Profits Fund only
Allows Servicing Adviser	No adviser charging facility
Other Considerations	4% guarantee valuable but limits flexibility; guarantee lost if transferred

My Recommendation

Following your request, we have now completed a full assessment of the options available to you. My recommendation accounts for several important factors including your answers to our Attitude to Risk Questionnaire and an analysis of the available options.

When carrying out this review I conducted a full review of your existing pension scheme in relation to the charges, investment performance, accessible fund range, and retirement options available. This helps to understand the competitive nature of each pension scheme. Once this information was analysed, I then compared each pension scheme against the most suitable alternative option from the following:

- Option 1 - Leave the existing pension schemes untouched
- Option 2 - Leave the existing pension schemes in place and switch investment funds
- Option 3 - Switch the existing pension schemes into another existing pension arrangement
- Option 4 - Switch your existing schemes into your employer's pension arrangement
- Option 5 - Set up a new pension plan to move your existing pension schemes into

EXISTING SCHEME	ADVICE
Phoenix Life & Pensions – 500223804C (Angela)	Transfer to Aviva Platform Personal Pension & commence phased UFPLS
Prudential – 50094231 (Angela)	Transfer to Aviva Platform Personal Pension and consolidate
Prudential – 50434629 (Kevin)	Transfer to Aviva Platform Personal Pension and consolidate
Standard Life – K176308000 (Kevin)	Transfer to Aviva Platform Personal Pension and consolidate

Phoenix Life & Pensions – 500223804C (Angela)

- Lower Costs – The existing plan charges 0.75% AMC, compared to the recommended Aviva platform at 0.41% total annual management charge.
- Investment Risk Mismatch – The current Phoenix AL Pensions International fund has a risk rating of 9, which is significantly higher than Angela's agreed risk profile of 4.
- Limited Retirement Options – The plan only offers UFPLS withdrawals with no Flexible Access Drawdown facility, restricting future income planning flexibility.
- No Adviser Charging – The existing plan does not facilitate adviser charging, preventing ongoing professional support and portfolio management.
- Provider Closure – Phoenix Life is closed to new business, limiting future enhancements and potentially affecting service quality.

Prudential – 50094231 (Angela) & 50434629 (Kevin)

- Lower Costs – Both Prudential plans have an expected annual charge of 0.95% compared to the recommended Aviva platform at 0.41% total.
- Limited Investment Options – Both plans are restricted to With-Profits funds only, preventing portfolio diversification and risk-appropriate investment selection.
- No Drawdown Facility – Neither plan offers retirement options, restricting retirement income flexibility.
- No Adviser Charging – Both plans prevent direct adviser fee deduction, complicating ongoing professional support arrangements.
- Consolidation Benefits – Transferring both plans to Aviva allows for simplified administration and coordinated retirement income planning.

Standard Life – K176308000 (Kevin)

- Lower Costs – The Standard Life plan charges 1% annually compared to the recommended Aviva platform at 0.41% total.
- No Drawdown Facility – The plan only offers UFPLS withdrawals with no Flexible Access Drawdown facility, limiting retirement income planning options.
- No Adviser Charging – The plan does not facilitate direct adviser fee deduction, preventing ongoing professional portfolio management.
- Guarantee Trade-off – While the plan has a valuable 4% guarantee on fund growth, this guarantee only applies to the fund value and is lost on transfer. However, the cost savings and enhanced flexibility justify this trade-off for your circumstances.
- Consolidation Benefits – Transferring allows for simplified administration alongside your other pensions and coordinated retirement planning with Angela's arrangements.

By switching to the Aviva platform, you will benefit from significantly lower costs, greater investment flexibility, improved retirement options, and continued professional oversight, ensuring your pension remains on track to support your long-term financial goals.

Other Considerations of Switching

You should note that whilst the transactions are pending, there could be movements within the stock-market; that is to say that the stock-market could rise or fall in value. If the market rises in value between the date of realising your existing funds and the purchase of your new (funds), you could be financially disadvantaged insofar as the cost of buying your new fund could be greater. Conversely, if there is a fall in the market between the date of realising your existing funds and the purchase of your new funds, you could be financially advantaged insofar as the cost of buying your new funds could be lower.

Should you require access to these funds in the future it will usually take 10-15 working days for administration, disinvestment and banking processes to complete. You are comfortable with this timeframe as you have substantial liquid cash reserves of £266,000 available should you require instant access to funds.

There is no guarantee the return on the new investment will be greater than that of your existing arrangement for these funds.

All other risks associated with this investment are detailed in the product literature provided to you. You should read this document carefully.

Recommended Solution

New Plan	Total Transfer Value	Regular Contributions
Aviva Platform Personal Pension (Angela & Kevin - separate contracts)	£284,444	None - transfer only

I have recommended a Personal Pension for the following reasons:

- It is the most suitable solution given your circumstances and retirement objectives.
- It provides an extremely tax-efficient way of building up a retirement fund.
- You can vary your regular contributions or make one-off payments as required. Personal contributions to the pension benefit from valuable tax relief; for example, a net contribution of £80 effectively becomes £100 gross in your pension.
- Regular reviews will ensure that your pension continues to reflect your risk tolerance and performance expectations, although performance cannot be guaranteed. Underlying funds can be adjusted to suit changes in your personal circumstances.

- You can draw benefits from your pension fund in a number of different ways from age 55 (rising to 57 from 6 April 2028). However, you should always take advice beforehand to ensure you are taking benefits in the most tax efficient way possible.
- You understand the pension freedoms and prefer the flexibility of entering Flexi Access Drawdown when you access your pension, allowing you control over how and when benefits are taken. The pension provider will be selected to ensure seamless conversion to Flexi Access Drawdown when you decide to draw benefits.
- Should you die before age 75, the nominated beneficiaries can receive a lump sum, drawdown an income or purchase a dependents annuity. All these options are paid free of tax. Where you die after the age of 75, the same options are available, but tax is paid at the beneficiary's marginal rate of tax.
- Pensions are currently outside of your estate for IHT purposes, however from 6 April 2027, most unused defined contribution pensions and death benefits (such as drawdown funds and uncrystallised pots) will be included in your taxable estate for IHT. Exceptions include pensions paid to a surviving spouse or civil partner, dependents' scheme pensions, and death-in-service benefits.

Why this provider has been recommended

A platform is a service that allows you to hold one or a number of different investment vehicles under one roof. It also has access to a significant number of investment funds from different fund managers to allow the creation of a diversified portfolio with the ability to switch funds at any time. It also provides the facility to obtain up-to-date valuations on all your investments whenever required.

I have recommended the Aviva Platform for your Personal Pension for the following reasons:

The Aviva Platform

The Aviva Platform, part of FTSE 100-listed Aviva plc, provides a secure and flexible way to manage investments under one roof, with access to ISAs, pensions, and general investment accounts.

Key Benefits:

- Financial strength – Aviva is rated A (Stable) by S&P, with £407bn AUM (31 Dec 2024).
- Choice – Over 6,900 funds and leading managers, across ISAs, pensions, and GIAs.
- Flexibility – Comprehensive retirement options including Flexible Access Drawdown and UFPLS.
- Expertise – Aviva Investors manages award-winning strategies across asset classes, plus access to private markets (equity, infrastructure, real estate).
- Value – Transparent, competitive charges at 0.21% platform fee plus low-cost investment options.
- Convenience – Online tools for viewing performance, switching funds, and accessing documents.
- Governance – Strong regulatory oversight and risk management.
- Adviser Charging – Full facility for direct adviser fee deduction, enabling ongoing professional management.

Summary of Plan Charges

Annual recurring charges

Plan	Platform	Investment Management	Total Charge
Aviva Platform Personal Pension – Angela	0.21%	0.20%	0.41%
	£258.06	£245.77	£503.83
Aviva Platform Personal Pension – Kevin	0.21%	0.24%	0.45%
	£339.27	£387.74	£727.02

Your personal illustration contains further information regarding the cumulative effect the charges will have on your investment returns. The charge in monetary terms shown here may differ from the illustration due to differences in calculation methods.

The charge in monetary terms is an estimate based on the amount being invested into the plan, plus one year of contributions. The annual recurring charges assume no investment growth. In reality, the underlying investments will fluctuate daily, and this makes it impossible to accurately predict the actual monetary charges that will be incurred in the future.

The charges quoted in this report exclude the transaction costs of the underlying funds, as these are variable and subject to change based on factors such as market conditions and trading activity. Transaction costs are not fees paid to the asset manager; instead, they include expenses like broker commissions, taxes, and the cost of executing trades. Despite their variability, these costs are already accounted for in the fund's performance figures, which are presented net of all charges. This provides a clear and accurate reflection of the investment's returns after all costs have been considered.

Pension Switch Charges Only Assessment

The table below shows the difference in the total recurring annual charges of the existing plan and the alternative plan that has been recommended to replace it in both percentage and monetary terms. The difference in monetary terms is based on the current fund value of the existing plan, as highlighted in the earlier review section.

Plan	Current Annual Recurring Charge of Existing Plan		Impact of Recommended Alternative	
Phoenix – 500223804C (Angela)	0.75%	£669	-0.34%	-£303
Prudential – 50094231 (Angela)	0.95%	£320	-0.54%	-£182
Prudential – 50434629 (Kevin)	0.95%	£1,293	-0.50%	-£680
Standard Life – K176308000 (Kevin)	1%	£255	-0.55%	-£140

Like for Like

Angela based on information supplied by your existing providers, our calculations show that the Aviva plan is on average 0.39% Less expensive than your current plans. This means that your proposed plan can underperform your current plan by £479 in the first year (in monetary terms).

Kevin based on information supplied by your existing providers, our calculations show that the Aviva plan is 0.51% Less expensive than your current plans. This means that your proposed plan can underperform your current plan by £824 in the first year (in monetary terms).

Including Adviser Fee

Angela as we have agreed to be remunerated via the policy (initial and ongoing), our calculations showed that the Aviva plan is 3.61% more expensive than your current plans in the first year only. This means that your proposed plan will need to outperform your current plan by £4,436 in the first year (in monetary terms).

Kevin as we have agreed to be remunerated via the policy (initial and ongoing), our calculations showed that the Aviva plan is 3.49% more expensive than your current plans in the first year. This means that your proposed plan will need to outperform your current plan by £5,638 in the first year (in monetary terms).

I have also assessed the impact of our charges upon transferring and over time. This is called the Critical Yield and can be found in the Appendix of this report.

Angela based on a mid-growth rate of 2.94%, including our advice fees, the recommended plan would need to grow by 3.7% per year up to age 87 in order to meet the same value as your current plan. Based on the past performance of your recommended funds and the significant cost advantages, I believe this is readily achievable.

Kevin based on a mid-growth rate of 2.94%, including our advice fees, the recommended plan would need to grow by 3.8% per year up to age 85 in order to meet the same value as your current plan. Based on the past performance of your recommended funds and the significant cost advantages, I believe this is readily achievable.

My Withdrawal Recommendation

The advice provided to you is based upon the information you have disclosed and therefore if this letter does not coincide with your view of the situation or you require any further clarification, please do not hesitate to contact me immediately. It is important to emphasise that you should disclose all facts which could affect the advice provided.

Lumpsum Withdrawal

No lump sum withdrawal is required at this time. Your immediate income needs will be met through the regular pension income strategy detailed below.

Regular Pension Income

Solution	Phased UFPLS (Uncrystallised Fund Pension Lump Sum)
Provider	Aviva Platform Personal Pension
Policy Number	To be confirmed upon setup
Total Monthly UFPLS	£1,396.67
Tax-Free Element (25%)	£349.17
Taxable Element (75%)	£1,047.50
Net Income (after tax)	£1,396.67
Payment Frequency	Monthly
Start Date	ASAP

Angela, you require regular income to bridge the gap between Kevin's State Pension and your household expenditure needs of £3,500 per month. By commencing phased UFPLS withdrawals of £1,396.67 monthly from your new Aviva pension, you will utilise your full Personal Allowance of £12,570 for the 2026/27 tax year. The taxable element falls entirely within your Personal Allowance, meaning the withdrawal is completely tax-free to you. If you do have any income that is attributed to yourself, once the accounts are finalised for this tax Year, we can alter the income strategy for you and Kevin to ensure your income remains tax efficient.

We will review your income strategy before your State Pension commences in October 2029 to ensure your withdrawals remain tax efficient. Once your State Pension begins, the income strategy will be adjusted to maintain tax efficiency while preserving your pension capital.

I am making these recommendations for the following reasons:

- Your current household income consists only of Kevin's State Pension of £1,034 per month, which is insufficient to meet your expenditure needs of approximately £3,500 per month.
- You require a combined household income of £3,500 per month throughout retirement. The UFPLS strategy provides £1,396.67 net per month, helping to bridge this income shortfall alongside using your substantial cash reserves.
- Angela, you will make full use of your Personal Allowance of £12,570 for the 2026/27 tax year, ensuring the entire UFPLS withdrawal is received tax-free.
- This phased approach provides regular income until your State Pension commences in October 2029, at which point the strategy will be reviewed and adjusted accordingly.
- By utilising some of your pension benefits through UFPLS, you can preserve more of your Cash ISAs as an emergency fund and for future lifestyle needs, providing peace of mind and financial security.

- Once Angela's State Pension begins in October 2029, your combined guaranteed income will significantly reduce reliance on both pension withdrawals and cash savings.
- The UFPLS approach allows access to pension funds in a tax-efficient manner while preserving the majority of the pension capital for longer-term growth.
- This represents the most tax-efficient way of meeting your immediate income objectives while maintaining flexibility for future retirement planning.
- The Aviva platform offers full UFPLS and Flexible Access Drawdown facilities, providing complete flexibility to adjust your withdrawal strategy as circumstances change.
- There are no charges associated with the pension withdrawal facility, and the ongoing platform charges remain highly competitive compared to your existing arrangements.
- The recommendation aligns with Angela's cautious balanced risk profile and your shared objective of maintaining financial security throughout retirement.
- Aviva remains financially strong with an A-rated credit rating, providing security and reliability for your long-term retirement planning.
- The Aviva platform typically processes withdrawal instructions within 10-15 working days, ensuring timely access to your retirement income.
- I considered alternative approaches including annuity purchase, cash savings usage, and deferring withdrawals. However, the UFPLS strategy provides optimal flexibility, tax efficiency, and capital preservation for your circumstances.

The key disadvantages and any specific tax implications associated with the recommended withdrawal are highlighted below:

- My advice and recommendations are based on my understanding of current law and taxation, which may be subject to change in the future.
- Please note that once your Tax-Free Cash has been depleted, any further income taken from your pension will be treated as taxable. At that point, the Money Purchase Annual Allowance (MPAA) will be triggered, reducing the maximum amount you can contribute to defined contribution pensions to £10,000 per annum.
- The money you take out of your pension fund will form part of your estate for Inheritance Tax purposes and could be taxed at up to 40% on your death if it is not spent. You currently do not have an IHT liability. However, please be aware the chancellor announced in the most recent Autumn budget that most unspent pension funds will form part of your estate from April 2027 onwards.
- Pension funds benefit from Tax-Free growth, but once you withdraw the Tax-Free Cash and use it outside the pension, you lose these tax advantages.
- While using your Tax-Free Cash can provide immediate funds without reducing your cash savings, it's important to be aware of the risks involved. Withdrawing TFC reduces the size of your pension pot, which may lower the amount of income you can generate from your pension in the future. This could impact your long-term financial security and retirement income.
- It's also important to note that if you use your TFC now, you may have less flexibility to manage your income later, and any future withdrawals from your reduced pension fund could be taxable at your marginal rate, increasing the risk of depleting your pension savings too quickly.
- The income you withdraw from your pension fund will be taxed at your marginal rate of Income Tax.

The maximum total Tax-Free Cash you can withdraw is currently £268,275. This cap applies across all your pension pots combined. Once you have taken this amount, any further withdrawals will be subject to income tax at your marginal rate.

To raise sufficient capital, funds will be sold proportionately within your Pension portfolio to ensure the investments remain aligned to your agreed attitude to risk.

We will continue to review your expenditure needs at each annual review, however if your circumstances change and you would like to discuss any changes to your income requirements, then please do not hesitate to contact me.

Alternatives

I considered the following alternative solutions and options but discounted them for the reasons outlined below:

Raise capital via alternative means

- Combined, you both have circa £266,000 in your cash-based savings/investments.
- Although you have more than enough accessible cash savings to cover all of your income need, you prefer not to use these funds to cover all of your future income need. Using these accessible cash savings without replenishing them would leave you both in a position you're not comfortable with.
- Keeping savings available ensures you have quick access to cash in the event of unexpected financial emergencies.

Take out a loan to cover this expenditure requirement

- This would not be suitable for you based on your circumstances.
- You are in retirement with no liabilities; therefore, you did not feel this was a suitable option and do not wish to take any liabilities on.
- This would add more pressure to your Aviva pension funds during your retirement to ensure you are able to cover the repayments in retirement. Ultimately, having an effect on your capacity for loss.

Reduce your discretionary expenditure.

- At the moment, this would not be suitable for you based on your circumstances.
- You wish to maintain the lifestyle you currently live.

Purchasing a lifetime annuity

- You wish to be able to tailor your income depending on your retirement needs.
- Once purchased, a lifetime annuity cannot usually be changed, cancelled, or cashed in.
- This income could be taxed at your marginal rate if working at the same time.
- Unlike drawdown plans, annuities don't benefit from investment growth they provide a fixed or inflation-linked income only.

Purchasing a fixed-term annuity

- A fixed-term annuity lacks flexibility, if your income needs change, or you wish to vary or stop withdrawals, this is not possible.
- The lump sum used to buy the annuity is no longer accessible for emergencies or other needs.
- Unless it's inflation-linked, the income is fixed, so its real value can decline over time.
- If you die early during the term, your heirs may receive little or nothing, depending on the annuity structure.

Sustainability of Income

It is important you appreciate the amount of guaranteed income you are giving up as a result of not using this pension fund to purchase a lifetime annuity, as well as the impact withdrawing the selected level of income from the recommended plan could have on your pension fund. Examining critical yields is a standard approach to assessing sustainability of income over the longer term. The table below highlights the critical yield that currently applies to the recommended plan as well as the comparable annual income you could expect to receive if you used this pension fund to purchase a guaranteed lifetime annuity instead. You will find further information regarding critical yields and the basis that the comparable annuity has been prepared on in your illustration.

Owner	Angela
Solution	Phased Flexi-access Drawdown
Provider	Aviva Platform
Comparable Annuity Income	£5,132.77
Critical Yield A %	6.2%
Recommended Investment Strategy 5-year Annualised Return %	4.1%

This is used to show the amount of income you can get if you buy an annuity today from your Flexi access drawdown pension fund and how much that drawdown pension fund needs to grow each year to provide that amount of income each year and then purchase an annuity for that amount at age 70.

Critical yield A shows If you buy an annuity at age 70 this Flexi access drawdown fund needs to grow at 6.2% each year. This is based on an annuity interest rate of 5%. This is used to show the amount of income you can get if you buy an annuity today from your Flexi access drawdown pension fund and how much that drawdown pension fund needs to grow each year to provide that amount in the future.

Fund recommendation

In addition to your attitude to investment risk and capacity for loss, I have also considered your investment objectives as well as your knowledge and experience, and the length of time you wish to invest for. Having taken account of all these factors, I have recommended the following investment strategy.

Angela's Investment Strategy (Risk Level 4 - Cautious Balanced)

Investment Fund	Allocation	Risk Rating	Annual Charge
Vanguard LifeStrategy 40% Equity - Acc	50%	4	0.20%
HSBC Global Strategy Conservative portfolio C	50%	4	0.20%
Total	100%	Weighted Risk: 4	Weighted OCF: 0.20%

Kevin's Investment Strategy (Risk Level 5 - Balanced)

Investment Fund	Allocation	Risk Rating	Annual Charge
Vanguard LifeStrategy 60% Equity - Acc	50%	5	0.20%
CT Universal MAP Balanced C Acc	50%	5	0.29%
Total	100%	Weighted Risk: 5	Weighted OCF: 0.24%

Please refer to the enclosed illustration for a full breakdown of the recommended portfolio.

This will ensure you have a diversified investment portfolio based on your retirement objectives in isolation as you requested and one which is in line with your stated attitude to investment risk. Details of these funds are contained in the product literature.

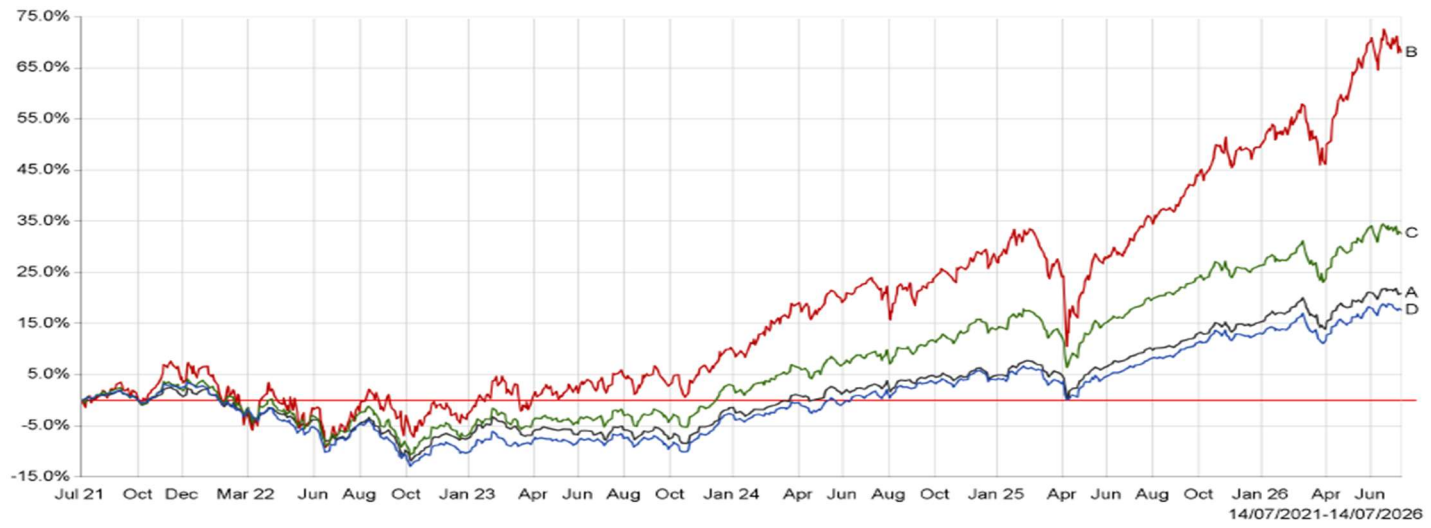
- The funds reflect your risk profile both individually and combined. This means that should there be any portfolio drift, the risk being taken remains the same.
- It provides exposure to a range of asset classes and market sectors resulting in greater diversification and reduced risk.
- It provides a blend of active and passive investments, which allows for some active management, whilst keeping costs low.
- You want to keep the investment strategy of your pension fairly simple.
- The charges are competitive.
- The funds have performed well in comparison with their peers.
- The funds are part of our CIP (Centralised Investment Proposition). This is regularly reviewed by a quarterly investment committee. We also utilise a leading external research team to ensure regular monitoring and oversight of our recommended funds.
- We have recommended a multi-asset fund because it provides a professionally managed, diversified investment solution that aligns with your financial goals and risk profile. These funds are risk-profiled solutions, meaning they are specifically designed to remain within your agreed level of risk, ensuring your investments stay aligned with your preferences. These funds combine the growth potential of equities with the potentially uncorrelated returns of other asset classes, such as bonds, property and absolute return. By investing across a range of asset classes, the fund reduces the risk associated with market volatility while offering the potential for steady growth or income, depending on your needs. Managed by experts who regularly adjust the portfolio to maintain suitability, this option offers simplicity, cost-efficiency, and flexibility as your circumstances evolve, making it a balanced and reliable choice for achieving your long-term financial plans.

You should remember that unit prices and the value of your pension fund can fall as well as rise and there is no guarantee you will receive a return of your original capital, especially in the early years or if you choose to take an income from it. Past performance is no guarantee of future returns.

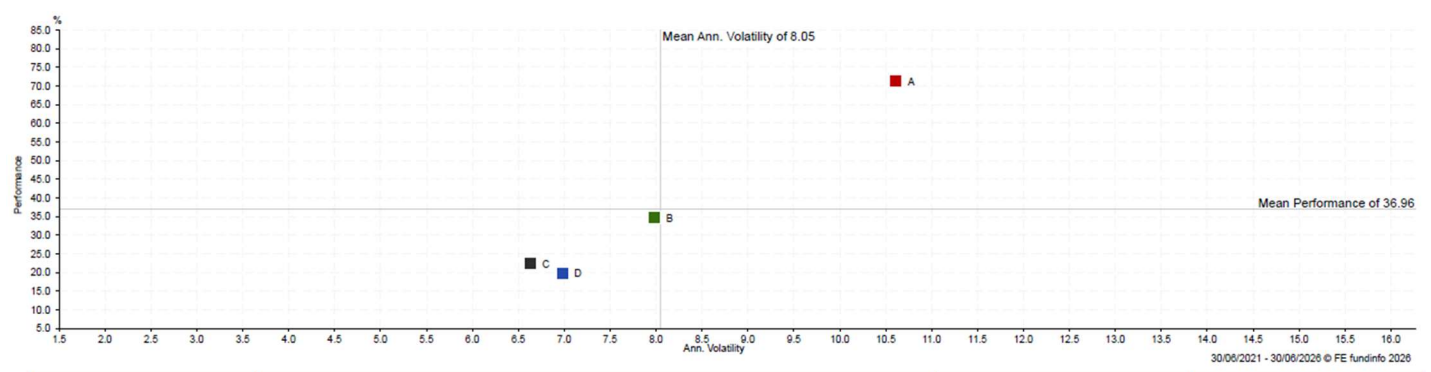
A switch between pension providers does not guarantee a greater pension fund at retirement and there is no guarantee that the new provider's funds will outperform those of your existing provider.

Performance Assessment

The chart and table below show a performance analysis of your existing pension fund investments against our recommended fund portfolios over a five-year period (June 2021 to June 2026). The analysis includes the sector benchmark for mixed asset funds to provide additional context, unfortunately we do not have data on your Prudential or Standard Life with profit funds, as they are not shared with our third party fund comparison software. Below is a table of their quoted returns from their websites.



Cumulative Performance (%)		Cumulative Performance as at 14/07/2026*					
Instrument	Currency	3m	6m	1y	3yrs	5yrs	14/07/2021 to 14/07/2026
A ■ IA Mixed Investment 20-60% Shares TR in GB	GBP	2.82	3.40	10.98	29.34	20.89	20.89
B ■ Phoenix AL - International Pn Acc GTR in GB	GBX	7.71	9.68	26.65	63.18	67.95	67.95
C ■ Risk 5 - Vanguard 60% & CT Balanced TR in GB	GBP	3.30	3.42	12.23	37.92	32.53	32.53
D ■ Risk level 4 - Vanguard & HSBC TR in GB	GBP	2.60	2.84	10.09	27.59	17.59	17.59



Key	Name	Performance	Volatility
■ A	Phoenix AL - International Pn Acc GTR in GB	71.21	10.61
■ B	Risk 5 - Vanguard 60% & CT Balanced TR in GB	34.60	7.98
■ C	IA Mixed Investment 20-60% Shares TR in GB	22.33	6.63
■ D	Risk level 4 - Vanguard & HSBC TR in GB	19.70	6.98

Prudential

With-Profits Pension Fund – investment returns (before tax)

31.12.2024	31.12.2023	31.12.2022	31.12.2021	31.12.2020
7.3%	4.3%	-1.5%	12.0%	1.7%

Standard Life

Pension With Profits Fund

Unit Price Growth Rates (annual equivalent) between the dates specified			
	Guaranteed Growth Rate	Bonus Growth Rate	Total Growth Rate
17/01/83 – 28/02/83	4.0%	8.0%	12.0%
01/03/83 – 31/01/88	4.0%	9.0%	13.0%
01/02/88 – 31/01/90	4.0%	8.0%	12.0%
01/02/90 – 31/01/92	4.0%	7.0%	11.0%
01/02/92 – 31/01/94	4.0%	6.0%	10.0%
01/02/94 – 31/01/96	4.0%	4.5%	8.5%
01/02/96 – 31/01/97	4.0%	4.0%	8.0%
01/02/97 – 31/01/98	4.0%	3.5%	7.5%
01/02/98 – 31/01/99	4.0%	2.5%	6.5%
01/02/99 – 31/01/02	4.0%	1.5%	5.5%
01/02/02 – 31/01/03	4.0%	1.0%	5.0%
01/02/03 – 31/01/04	4.0%	0.25%	4.25%
01/02/04 – 31/01/26	4.0%	0.0%	4.0%
01/02/26 until further notice	4.0%	0.0%	4.0%

Angela, the analysis demonstrates that your current Phoenix AL International fund has achieved the highest returns (71.21% over five years), but with significantly higher volatility (10.61% annually) than is appropriate Risk 4 profile. This excessive volatility creates unnecessary risk in your retirement portfolio.

Our recommended portfolios provide more appropriate risk-adjusted returns: Angela's Risk 4 strategy delivered 19.70% returns with 6.98% volatility, while Kevin's Risk 5 strategy achieved 34.60% returns with 7.98% volatility. Both track or outperform the benchmark as we would expect.

The recommended strategies provide better risk-adjusted performance that aligns with your individual risk tolerances while reducing the excessive volatility present in your current arrangements. This approach supports sustainable long-term growth appropriate for retirement income planning.

Past performance is not a guarantee of future returns.

Cashflow Analysis

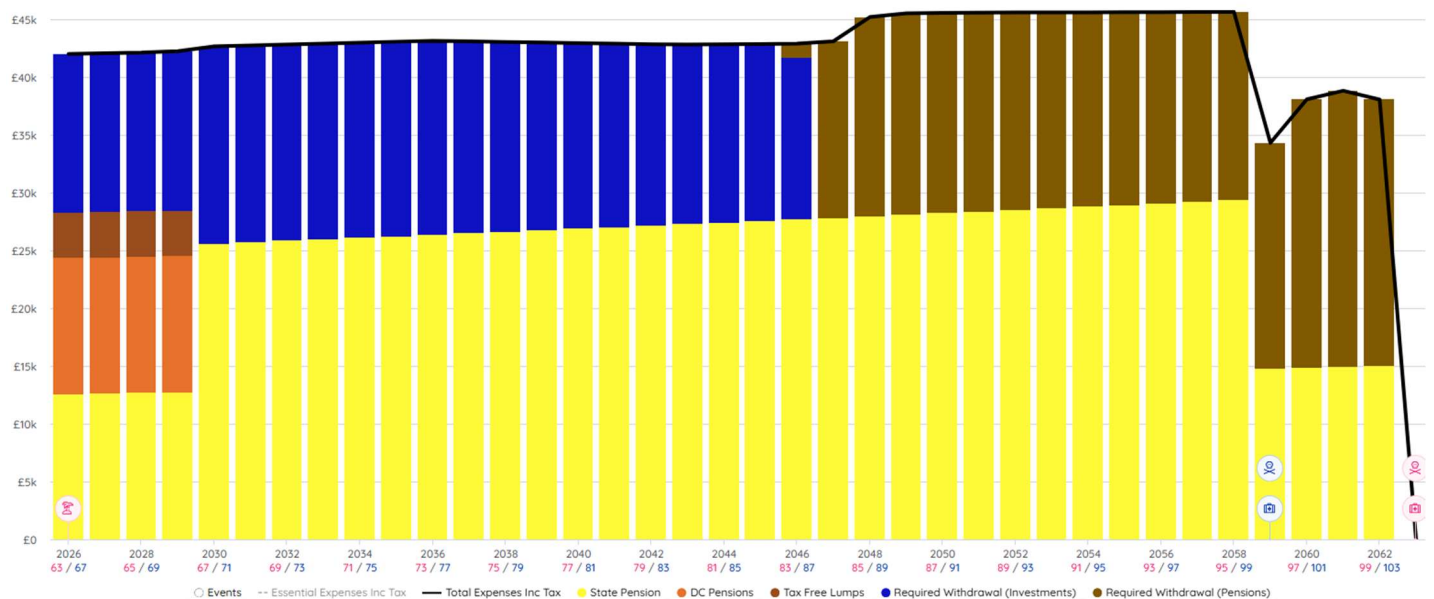
I have used a cashflow modeller to create a graphical representation of your assets, investments, debts, income and expenditure. I have projected these forward, year-on-year, to assess the likelihood of you being able to achieve your objectives. A summary of the key scenarios I have modelled to help develop my recommendations are included below.

We have input the following information into the cashflow modeller to generate the charts below:

- Kevin receives £1,034 per month from his State Pension (already in payment).
- Angela will receive her State Pension of approximately £1,034 per month from October 2029.
- You would like £3,500 per month in retirement
- I have included the following assets in the cashflow modelling:
 - Cash ISAs and current account: £266,000
 - Main residence: £450,000
 - New Aviva Pension contracts: £284,444 total transfer value
- Angela's UFPLS withdrawals commence July 2026 until State Pension starts.
- The forecast incorporates the assets of your main residence and cash holdings that you have. These have been modelled with the projected growth rates included in the appendix of this report.
- The cashflow runs until you reach age 100 and assumes all surplus income throughout your lifetime is spent, rather than saved.

Any input information is based on the assumptions detailed at the end of this report.

Income and expenditure



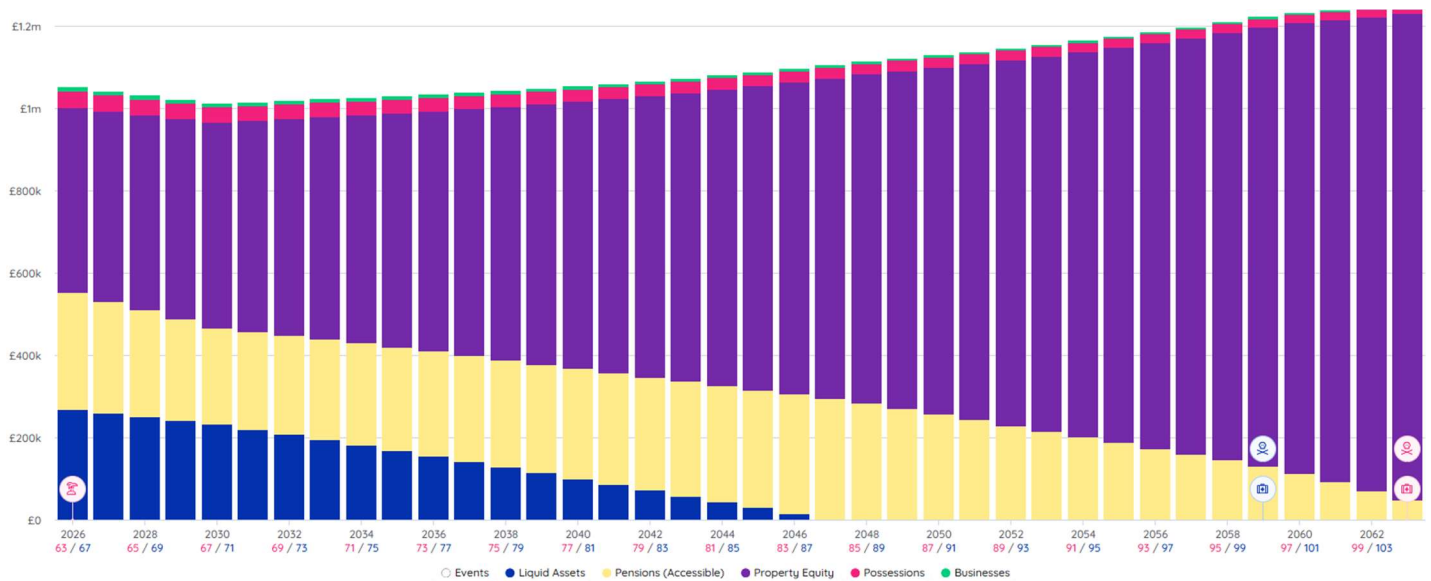
The chart above displays a bar for each year of your life, up to age 100, showing your household income. Each income source is represented by a different colour. Your total expenditure, including tax and National Insurance, is shown by the solid black line running across the bars.

Where income is insufficient to cover your expenditure, the modeller assumes that you will draw from your liquid assets. This is represented by the blue shading in the chart.

The cashflow analysis demonstrates that your proposed strategy successfully meets your retirement income needs throughout your lifetime. The combination of Kevin's State Pension, Angela's phased UFPLS withdrawals until 2029, and your substantial cash reserves provides sufficient income to maintain your desired £3,500 monthly expenditure.

If at any point there were insufficient liquid assets or accessible pensions to meet your expenditure, this would be shown by red bars on the chart. In this case, based on the current assumptions, no shortfall is projected throughout your lifetime.

Current Total Assets



Total Assets Projection

Your total assets are projected to grow from £1,050,446 initially to £1,253,121 by age 99, primarily due to property growth. This demonstrates the sustainability of your financial plan and provides substantial legacy potential for your children.

Alternative Scenarios & Stress Tests

- High Inflation Scenario (6%): Our stress testing shows that with sustained high inflation of 6%, you will have a shortfall in assets to meet your income need from 2047
- I have completed a stress test based on if an immediate market crash were to occur. This showed that if your plan sustained an immediate loss of -30% there would be a shortfall in 2058.
- The Office of National Statistics Life Expectancy for a 62-year-old female is age 87. Therefore, based on these statistics, your funds would be expected to last throughout your lifetime.
- The Office of National Statistics Life Expectancy for a 67-year-old male is age 85. Therefore, based on these statistics, your funds would be expected to last throughout your lifetime.

It is important to understand that the above charts are projections based on certain assumptions, and even a small variance between the assumptions used and actual experience can result in a marked difference in the outcome when compounded over a long period of time. Please also note that the chart does not consider any potential long-term care costs which could occur in later life.

Alternative Solutions

Stakeholder pensions have been designed to offer low charges (i.e. a maximum total charge of 1.5% per annum for the first 10 years then 1% thereafter). These have a low minimum contribution level and do not penalise policyholders if they need to stop payment contributions or move their funds to another provider.

In your case however, I am recommending a plan which is not a stakeholder pension plan as this is more suitable for your circumstances because the solution is more cost effective than a typical stakeholder pension. Stakeholder pensions also typically do not allow for flexible access and have limited fund ranges.

As part of the advice process, a range of investment options available within the UK financial services market were considered to ensure the proposed strategy is suitable and aligned with your financial objectives, time horizons, and attitude to risk.

Other investment vehicles were considered but discounted for the following reasons:

Venture Capital Trusts (VCTs) and Enterprise Investment Schemes (EIS)

These tax-advantaged investments can offer attractive income tax reliefs and growth potential, but they are high-risk, illiquid, and often more suitable for experienced or sophisticated investors. Given your objectives, these were deemed inappropriate at this time.

Investment bonds - both onshore and offshore - were considered as part of this advice process. These are life assurance-based investment wrappers that can offer certain tax planning features, particularly around income deferral and assignment for estate or trust planning. However, for your current needs and objectives, they have been discounted for the following reasons:

- Both types of bonds allow cumulative withdrawals of up to 5% of the original investment per policy year without an immediate tax charge. However, exceeding this allowance or surrendering the bond can trigger a chargeable event, leading to potentially significant income tax bills, particularly if not carefully managed.
- Bonds are less transparent in terms of underlying fund charges and investment performance and can involve additional setup and ongoing costs compared to ISAs.
- Your current objectives do not involve complex trust planning, inheritance tax mitigation, or income smoothing - common scenarios where bonds may be more suitable.

Cash Deposits and National Savings

- While holding some cash for liquidity and emergency purposes is sensible, long-term investment in cash is not recommended due to its inability to keep pace with inflation, leading to erosion of real value over time. Your objectives include growing your wealth over the medium to long term, which is better achieved through market-based investments.

Purchased Life Annuity

We have requested annuity quotes. Please see the table below to confirm the annuity rates you would be eligible for.

Provider	Time period	Gross income P.A.	Guaranteed Maturity Value	Payment frequency
Aviva	Life	£5,949.60	N/A	In Arrears
Standard Life	Life	£6,122.88	N/A	In Arrears
Aviva	Till state pension	£18,466.68	£68,461.91	In Arrears
L&G	Till state pension	£6,882.60	£110,597.40	

Annuity quotations were obtained as part of our consideration of your options, as you wish to take an income from your pension. However, an annuity has been discounted as it would not provide the flexibility you require, particularly in relation to controlling your tax-free cash withdrawals until your State Pension commences. Based on the quotations obtained and your stated objectives, an annuity would not meet your needs at this time.

Nominations and death benefits

Your Aviva pension does not have a beneficiary set up; therefore, I have posted out an Expression of Wish form for you to sign and return to us. Please return this directly to us using the pre-paid envelope provided.

This will allow you nominate who you wish to benefit from your funds on passing. It will also allow you to designate an amount of your funds to several people.

All payments will be subject to Aviva's discretion. Where your nominees withdraw from the proceeds it will be tax free should you die before age 75. Where your death occurs on or after age 75 those payments will be subject to the nominee's marginal rate of tax.

Cancellation notice

You have a legal right to change your mind and cancel your plan. Once your plan is set up you will be sent a cancellation notice. You have 30 days to review and consider your options. You should check the provider literature to confirm the date this period commences as well as any charges that may apply following cancellation. If your investment falls in value before your cancellation notice is received, an amount equal to the fall in value will be deducted.

However, please be aware the cancellation notice includes a provision that any previous provider is not obliged to take the plan back.

Tax Treatment and Law

All statements concerning the tax treatment of products and their benefits are based on our understanding of current tax law and HMRC practice. Levels and basis of tax relief are subject to change.

Product literature

This documentation is important and contains information regarding the products which I have recommended, particularly with regards to how the product works, its aims, risks and charges, together with its legal status, tax treatment and your cancellation rights. Therefore, please ensure you have read these documents carefully. If there are any points on which you are unsure, or require further clarification, please contact me and I will be pleased to explain these in greater detail.

Our charges

For researching, recommending and arranging these investments, we charge an initial advice fee of 3% of the amount invested as per the terms stated in our Client Agreement. In monetary terms this is £8,533 with current transfer values, this figure may fluctuate depending on transfer values. This will be paid directly by the pension schemes on transfer.

Future contact and ongoing services

We believe it is important to review your investment strategy at regular intervals to ensure it continues to meet your aims and objectives. Our Client Agreement sets out the service my company will provide to you and its likely cost. The benefits of our ongoing service include;

- Reviewing your attitude to risk and capacity for loss to ensure your investment portfolio remains suitable for you.
- Reviewing the ongoing suitability of your investment portfolio.
- Market updates and updates with any changes in financial legislation.
- Access to a professional, experienced and qualified team of financial advisers at any time to provide ad-hoc advice as required.
- Access to full holistic financial planning to suit your needs.

The costs for this service are 1% per annum. Based on current values and expected contributions, minus the initial fee, this would be equal to circa £2,759 for the upcoming year. This will vary in line with your fund value. This fee will be paid via the Aviva Platform pension schemes, as you prefer to pay via your provider rather than directly.

Wills

You have confirmed you each have a valid Will in place and from our discussions it would appear to meet your financial planning objectives. You should always review this whenever your circumstances change.

Power of attorney

You confirm you have a registered Power of Attorney covering your financial affairs and/or health and welfare.

Conclusion

I trust that this letter provides an accurate summary of our discussions, however, should you have any concerns or wish to discuss any of the issues raised in more detail please do not hesitate to contact me.

We strive to provide you with a first-class professional service and hope that we can continue to be of service to you for many years to come. Should you require advice at any time with regard to any aspect of your financial planning, please do not hesitate to contact me and I shall be pleased to assist.

Yours sincerely



Tom Randall DipPFS
Financial Adviser
TFAS Wealth Limited

Appendix

Critical Yield

Initial adviser charge of £8,533 which is taken from the new solutions, reducing the initial investment accordingly.

An ongoing annual adviser charge of 1.00% which has been considered as part of the new solution projections below.

The following comparison considers the effect of any adviser charges currently being paid on the existing pensions being switched out of and the adviser charges that would become payable on the new solution.

Values shown are in real terms which mean that they have been adjusted to take into account the effect of inflation.

The retirement age used is 87 for Angela and 85 for Kevin.

	Angela	
	Existing pension	New solution
Low growth rate – (0.00%)		
Projected value at age 87	£101,000	£85,000
Reduction in yield	0.8%	1.6%
Critical yield	–	0.8%
Headroom	–	0.8%
Effect of switching	–	£16,000 or 15.8% decrease
Mid growth rate – (2.94%)		
Projected value at age 87	£198,000	£166,000
Reduction in yield^[1]	0.9%	1.6%
Critical yield^[2]	–	3.7%
Headroom^[3]	–	0.8%
Effect of switching^[4]	–	£32,000 or 16.2% decrease
High growth rate – (5.88%)		
Projected value at age 87	£383,000	£321,000
Reduction in yield	0.9%	1.7%
Critical yield	–	6.7%
Headroom	–	0.8%
Effect of switching	–	£62,000 or 16.2% decrease

Kevin		
	Existing pension	New solution
Low growth rate – (0.00%)		
Projected value at age 85	£135,000	£117,000
Reduction in yield	1.0%	1.8%
Critical yield	–	0.8%
Headroom	–	0.8%
Effect of switching	–	£18,000 or 13.3% decrease
Mid growth rate – (2.94%)		
Projected value at age 85	£227,000	£197,000
Reduction in yield ^[1]	1.0%	1.9%
Critical yield ^[2]	–	3.8%
Headroom ^[3]	–	0.9%
Effect of switching ^[4]	–	£30,000 or 13.2% decrease
High growth rate – (5.88%)		
Projected value at age 85	£374,000	£324,000
Reduction in yield	1.0%	1.9%
Critical yield	–	6.8%
Headroom	–	0.9%
Effect of switching	–	£50,000 or 13.4% decrease

[1] Reduction in Yield is the impact of product, platform and fund charges on the investment growth rate. For example, if the fund grows due to investment growth by 4% in a year and the reduction in yield is 2.5% the fund growth experienced will be 1.5%.

[2] Critical Yield is the growth rate required from the new solution to match the projected maturity value of the pension solution.

[3] Effect of switching is the change in the maturity value of the new solution assuming the fund experiences the same investment growth.

Cashflow Assumptions

Surplus Income Percentage Saved

0% of any in-year surplus will be saved within the plan – all surplus income is spent.

Inflation Assumptions

The following inflation assumptions are the rates used as standard within the cashflow modeller:

General expenditure 2 %

Savings 1.25 %

State pensions 2.5 %

Property 4.7 %

Lending 4 %

Angela Aviva personal pensions 4.5%

Kevin Aviva personal pensions 5%

Personal Pension Plan

A personal pension plan (PPP) is a type of money purchase pension that provides a tax-efficient way for individuals to save for their retirement. PPPs suit a wide range of individuals but are primarily aimed at those who do not have access to a workplace pension.

PPPs are not subject to restrictions on charges and therefore tend to offer a wider range of investment opportunities and options than stakeholder pensions. This flexibility provides greater scope to tailor the pension plan to the individual's needs and circumstances.

Flexi-access Drawdown (FAD)

Flexi-access drawdown provides a flexible and tax-efficient means of drawing benefits from a pension fund. An individual can take up to 25% of the pension fund being crystallised as a tax-free lump sum at outset (subject to the Lump Sum Allowance of £268,275 for people with no form of lifetime allowance protection). The remainder of the fund remains invested within a tax advantaged environment from which the individual can take regular or ad-hoc income withdrawals to suit their needs and circumstances. There is no upper limit to the amount the individual can withdraw as an income. However, each withdrawal is taxed at their marginal rate of Income Tax.

Flexi-access drawdown also provides a tax-efficient way of passing wealth down through the generations as any unused pension fund can usually be passed down to a wide range of beneficiaries free from Inheritance Tax.

Lifetime Allowance

The lifetime allowance 'charge' was removed from 6 April 2023 - the legislation for this was included in the Finance (No.2) Act 2023.

From 6 April 2024, the lifetime allowance has been removed. This doesn't mean there are no limits on the amount of pension savings people can take without a tax charge; the lifetime allowance is being replaced by new allowances.

The lifetime allowance is being replaced with three different allowances:

the lump sum allowance - £268,275

the lump sum and death benefit allowance - £1,073,100

Both of these allowances limit the amount of tax-free benefits that can be paid.

There is also:

the overseas transfer allowance - £1,073,100

A check is made against these allowances when benefits are paid. These allowances may be higher if the individual has lifetime allowance protection. These allowances are reduced if benefits were taken between 6 April 2006 and 5 April 2024. There is no longer any additional test against the investment returns at age 75, as previously.

Annual Allowance

Contributions into the scheme are limited by the annual allowance. The Annual Allowance is currently a maximum of £60,000 per annum 2026/2027. High earners may have a lower annual allowance. There is also the facility to potentially carry forward up to 3 years' worth of unused allowances. You should note that if an individual has flexibly accessed other pension benefits though, their Money Purchase Annual Allowance may be restricted to £10,000 with no Carry Forward allowed. Contributions exceeding the annual allowance would trigger a tailored tax charge of up to 45%. Tax relief on any personal contributions made is limited to £3,600 per annum or 100% of salary if higher.

You have not yet triggered the MPAA, and you do not have a lower annual allowance.

Key Benefits of the CIP Approach

1. Diversification and Risk Management

- The CIP includes a carefully curated selection of funds across different asset classes, regions, and sectors.
- This diversification reduces reliance on a single fund manager or strategy, spreading risk more effectively than a single multi-asset fund.

2. Active Oversight and Governance

- Our CIP is actively monitored and reviewed by an experienced investment committee.
- This ensures that the portfolio remains aligned with market conditions and your risk profile, providing greater adaptability compared to a static multi-asset fund.

3. Cost Efficiency

- The CIP is structured to balance performance and cost, optimising value for your investment.
- While individual multi-asset funds may offer simplicity, the CIP's layered approach can enhance performance without excessive costs.

The CIP aligns with your long-term goals and offers a more robust and flexible framework compared to a single multi-asset fund. It provides enhanced oversight, risk management, and adaptability, ensuring that your investment remains effective as market conditions and personal circumstances evolve.

Investment pathways

Investment pathways were introduced in February 2021 by government legislation. The legislation is designed to ensure that individuals who take benefits from their pension fund via drawdown without taking advice still have access to appropriate investments for their needs and objectives.

There are four investment pathways to cater for four retirement scenarios. The four pathways are:

- Option 1 - I have no plans to touch my money in the next 5 years.
- Option 2 - I plan to use my money to set up a guaranteed income (annuity) within the next 5 years.
- Option 3 - I plan to start taking my money as a long-term income within the next 5 years.
- Option 4 - I plan to take out all my money within the next 5 years.

The provider will offer a single investment solution designed to meet each option. Although investment pathways are aimed at individuals that do not have an adviser, they may still be a valid consideration for you because they may have:

- Potentially lower costs;
- Reduced complexity; and
- Less requirement for ongoing advice.

Why are investment pathways not appropriate for you?

I have considered the investment pathway solution offered by the recommended provider that is most relevant to you. However, I have discounted it because:

- You require a more tailored solution than any of the four generic solutions offered by the provider.
- It does not reflect your individual circumstances, withdrawal requirements and risk profile as accurately as the recommended investment strategy.
- You require an investment solution that will be regularly reviewed and adjusted to reflect any changes in your needs and circumstances as part of our ongoing advice service.
- It has not performed as well as the recommended investment strategy.